Putting It All Together

I have now come to a critical juncture in this book, where I can finally bring together my thoughts on the benefits of debt and leverage, together with the role of human capital and the main thesis regarding You, Inc. as a stock or a bond. It is now time to analyze the complete portfolio choice: investments, careers, and insurance, over the entire life cycle.

Let's start with a 45-year-old investment banker who earns $100,000 per year; he has a stay-at-home wife raising his dependent young children at home. By virtue of his job in the financial services industry, with compensation that is very much contingent on the vagaries of the stock market, his human capital is definitely a stock—at least for the most part. Let's further make life and numbers easier by assuming he has $250,000 in a 401(k) or IRA, or similar long-term investment account. Let's ignore housing for now. According to a model I developed and published with various colleagues at the IFID Centre (the results of which are displayed in Table 4.5) he should allocate 60% of his retirement savings account (that is, $150,000 of $250,000) to equity investments that are highly correlated with the stock market. The other 40% (or $100,000 of the $250,000 retirement account) should be allocated to bonds and safer fixed income instruments. As I have argued before, this is because he is already endowed with a very high exposure to stocks within his human capital. This is not a speculative decision or bearish bet on the direction of the stock market, rather (as I have stressed many times before) it is a hedge for his human capital.

In contrast, a tenured professor who earns the same $100,000 per year, with the same number of dependents and personal family situation, can afford to allocate or invest 280% of her nest egg in the risky stock market. The 280% implies that she should allocate a full 100% of the same $250,000-sized retirement savings account. She should then borrow (leverage, buy on margin) another 180% worth of stock. In other words she should actually borrow $450,000 and invest that in the stock market as well, for a total portfolio asset value of $700,000. This method might seem outrageous and imprudent at first glance—and especially for a conservative professor, no less—but it strikes at the heart of the "human capital is stock versus bond" thesis. The